Urban Threads Q4 2024 Order & Returns Data Analysis Report

Data Analyst Intern Assessment
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1. Executive Summary

This report analyzes order and return data for Urban Threads during Q4 2024 (October–December). The objective of the analysis is to identify patterns in sales performance, customer behavior, and return trends in order to provide actionable recommendations that can help reduce return rates while maintaining strong sales performance.

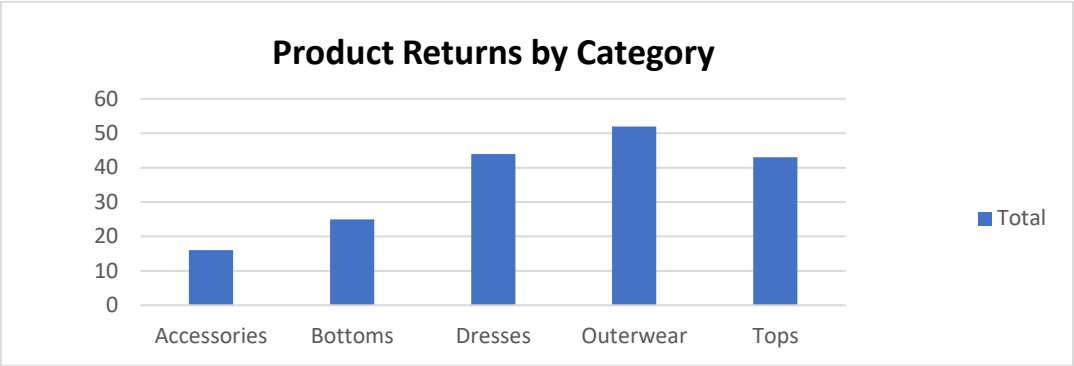
The dataset contains **346 orders and 409 units sold**, generating a **Gross Merchandise Value (GMV) of ₹10,23,789** and **Net Revenue of ₹9,09,607 after discounts**. The **Average Order Value (AOV) is ₹2,958.93**, and the overall **return rate is 55.05%**.

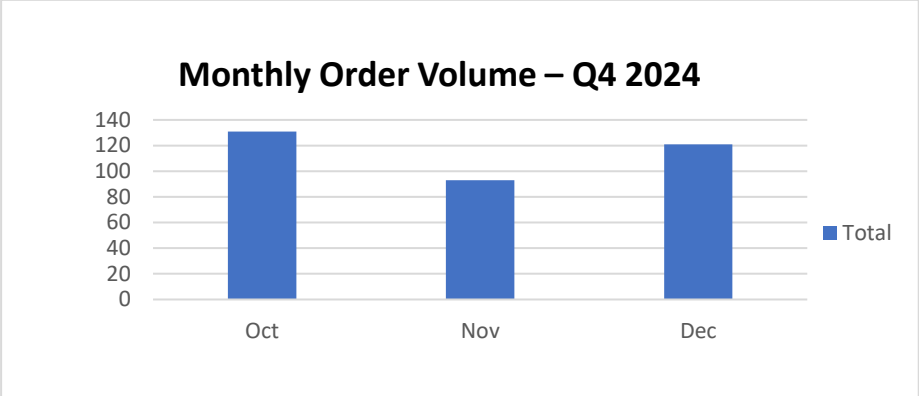
Through segmentation analysis across product categories, sales channels, payment methods, and customer types, several patterns were identified that highlight opportunities for operational improvement and customer experience optimization.

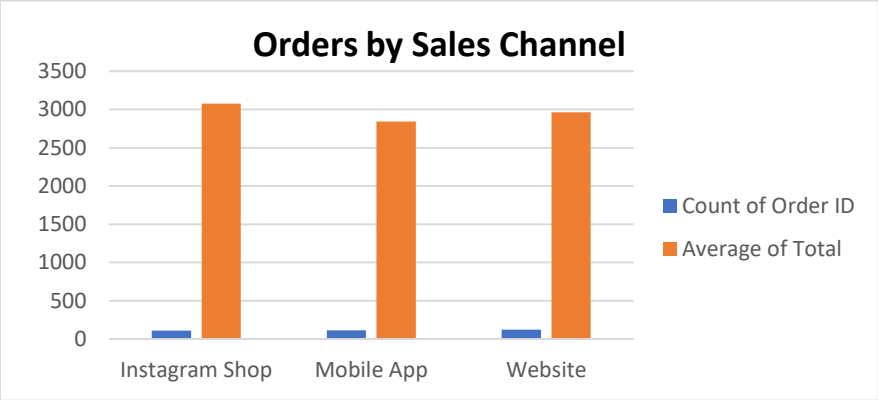
2. Key Performance Metrics

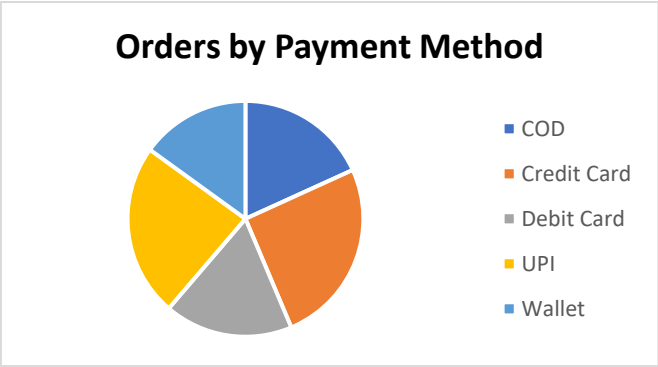
Metric	Value
Total Orders	346
Total Units Sold	409
Gross Merchandise Value (GMV)	₹10,23,789
Net Revenue	₹9,09,607
Average Order Value (AOV)	₹2,958.93
Return Rate	55.05%

These metrics provide a snapshot of the overall sales performance and operational efficiency for Q4 2024.


Product Returns by Category
60
50
40
30
20
10
0
Accessories
Bottoms
Dresses
Outerwear
Tops
Total


Monthly Order Volume – Q4 2024
140
120
100
80
60
40
20
0
Oct
Nov
Dec
Total


Orders by Sales Channel
3500
3000
2500
2000
1500
1000
500
0
Instagram Shop
Mobile App
Website
Count of Order ID
Average of Total



3. Key Business Insights

High Return Rates in Specific Product Categories

Product category analysis shows that **Outerwear and Tops have the highest return counts**, followed by Dresses. These categories likely experience returns due to size mismatches, fit issues, or customer expectations regarding product quality.

Strong Seasonal Demand in October

Monthly order analysis reveals that **October recorded the highest order volume (131 orders)** compared to November and December. This trend suggests that festive-season promotions and seasonal demand significantly drive sales performance.

Website is the Primary Sales Channel

Among the available channels, the **Website generates the highest number of orders**, followed by Mobile App and Instagram Shop. This indicates that customers prefer the main website platform for purchasing products.

Returning Customers Have Higher Spending Behavior

Customer segmentation indicates that **returning customers demonstrate higher average order value compared to new customers**, highlighting their importance for long-term revenue generation and customer loyalty.

Digital Payment Adoption is High

Payment analysis shows that **Credit Card and UPI are the most frequently used payment methods**, indicating strong customer preference for digital transactions.

4. Recommendations

Improve Product Size Guidance

Since a large portion of returns occurs in categories like Outerwear and Tops, providing **clearer size charts, better product descriptions, and fit recommendations** can significantly reduce size-related returns.

Strengthen Quality Control for High-Return Products

Additional quality checks should be implemented for product categories with higher return volumes to ensure product quality and minimize customer dissatisfaction.

Optimize Promotional Campaigns

While promotional periods drive higher sales volumes, they may also increase return rates due to impulse purchases. Urban Threads should analyze **promotion-driven purchases** to ensure sustainable sales growth.

Encourage Prepaid Payment Methods

Encouraging customers to use **UPI, cards, and digital wallets** instead of Cash on Delivery can reduce operational costs and lower the risk of order cancellations or returns.

Focus on Customer Retention

Since returning customers show higher spending patterns, Urban Threads should focus on **loyalty programs, targeted marketing campaigns, and personalized recommendations** to strengthen customer retention.

5. Conclusion

The analysis highlights that while Urban Threads achieved strong sales performance during Q4 2024, the high return rate indicates operational challenges related to product fit, customer expectations, and purchasing behavior. By improving product information, strengthening quality control, and encouraging digital payment methods, the company can significantly reduce returns while maintaining sales growth.

6. Assumptions and Limitations

This analysis is based solely on the **Q4 2024 dataset** and does not include historical data from previous quarters. Certain factors such as product fit feedback, logistics costs, and customer satisfaction metrics were not available in the dataset and could provide deeper insights if included in future analyses.